

addition, some mutual funds return capital each year. This is your own investment coming back to you. Both tax-free income and capital distributions are also listed on Form 1099.

The fourth event that triggers a tax liability is the personal sale or exchange of mutual funds and ETFs that have an unrealized capital gain. All investors are required to track the purchase and sale price of their mutual fund shares and report realized gains or losses to the IRS on Schedule D of their tax returns. If you exchange one fund for another fund within the same fund family, you are required to report the sale of the first fund and pay a tax on any realized gain.

The IRS has ruled that it is your responsibility to track the gains and losses on the sale of mutual fund shares. At a minimum, you should keep a separate ledger for each fund, and at the end of each year match up any share sales with a purchase price. Mutual fund companies and brokerage firms may provide you with gain and loss information, but it is still your responsibility to ensure that the data are correct and to report this information to the IRS.

ASSET LOCATION REDUCES TAXES

Asset allocation is the percentage of your overall portfolio that you invest in different investment categories. *Asset location* is the type of account in which each investment is placed. Some types of accounts are taxable, some are tax-deferred, and at least one is tax-free. Different categories of investments are taxed at different tax rates. Therefore, with proper placement of your investment choices in the various types of accounts, you can reduce the tax burden on the overall portfolio.

The proliferation of tax-deferred and tax-free savings opportunities has added a new dimension to the traditional asset allocation equation. Tax-deferred accounts include, but are not limited to, individual retirement accounts (IRAs), 401(k) plans, Keogh plans, and 403(b) plans. The investments in tax-deferred accounts are subject to taxation only when the money is withdrawn.

Roth IRAs allow tax-free growth and tax-free withdrawals. They can also be passed on to future generations without incurring an income tax. Roth IRA accounts are always funded with after-tax contributions.